Legislation

Exam code: 9BS0

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The effects of legislation on businesses

- Legislation refers to **laws and regulations** passed by governments that require businesses and individuals to conduct their behaviour in a particular manner
- There are **five areas of legislation that have significant impacts** on businesses
  - Consumer protection
  - Employee protection
  - Environmental protection
  - Competition policy
  - Health and Safety

Consumer protection laws

- Consumer protection legislation aims to ensure that consumers are **treated fairly by the companies** with which they interact
- Legislation covers areas including:
  - The safety of products
  - The standard and quality of products
  - The rights of customers if they are unhappy with their purchase
  - The product information that must be given to customers
- Meeting the requirements of each of the above laws results in **increased business expenditure**, which may reduce profitability
- Consumer protection legislation aims to provide a **level playing field** for businesses, ensuring that no business can gain an unfair advantage over rivals by **taking shortcuts** or by **making false claims** about its products

Employee protection laws

- Employee protection legislation aims to **prevent the exploitation of workers**
- Legislation covers areas including:
  - **Pay** and **working conditions**
  - **Equality** of employment rights for marginalised groups (e.g. those with disabilities) to avoid **discrimination**
  - The right to belong to a **trade union** and take **industrial action**

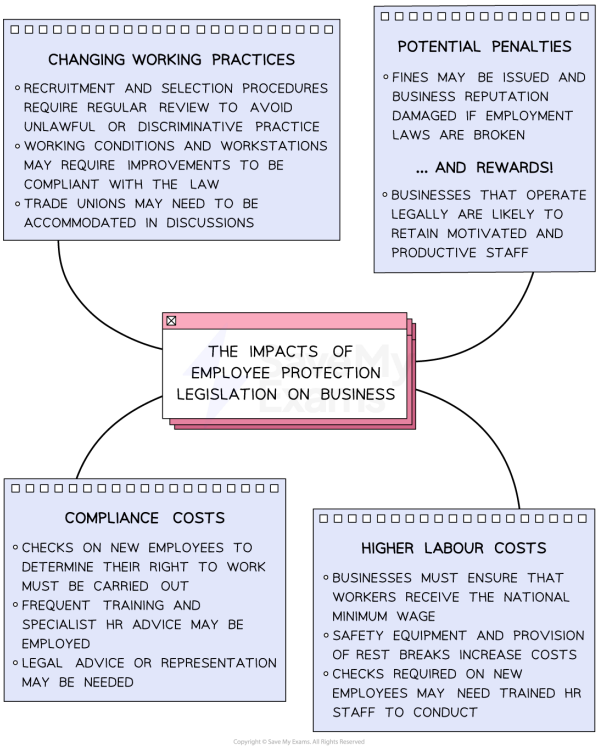
Help me understand

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

legislation



The impacts of employee legislation on business include compliance costs and higher labour costs

Environmental protection laws

- Environmental legislation aims to hold businesses **responsible for their environmental impact**
- Legislation covers areas including:
  - Pollution
  - Destruction of wildlife
  - Traffic congestion
  - Air quality
  - Resource depletion

- Businesses that fail to adhere to these laws may be **fined** or **forced to cease commercial activity** until they resolve the problems they have caused

Competition policy laws

- Competition legislation aims to protect the interests of both consumers and businesses by **restricting anti-competitive practices**
- Legislation covers areas including:
  - The abuse of market power so as to limit monopoly power
  - Anti-competitive **acquisition activity**
  - **Cartel** activity and collusion

- Where the **Competition and Markets Authority** judges that a business has acted or may potentially act in an anti-competitive manner, it may take steps such as preventing a **merger** or instructing a business to dispose of **subsidiaries** in order to correct the market

operate in a way that protects the **physical and mental well-being** of their employees and contractors, as well as their customers

- Legislation covers areas including:
  - The provision of **adequate breaks and rest periods**
  - Acceptable temperature and noise levels
  - The provision of safety equipment
  - Hygienic, safe and sanitary conditions
  - **Preventing stress**

- The implementation of procedures and provision of equipment required to maintain healthy and safe business premises and working conditions are likely to **incur financial and time costs**:
  - Staff **training** and supervision
  - Changes to **working hours** and rest provisions
  - Arrangement of manuals, signage and safety **documentation**
  - The purchase and maintenance of safety **equipment**
  - Drawing up and implementing a **code of practice**

- Serious health and safety breaches can lead to **fines** or an **investigation by the Health and Safety Executive** and, in some cases, can lead to **prosecution**

Examiner Tips and Tricks

Although you do not need to demonstrate in-depth knowledge of specific laws or regulations, it is useful to understand the range of impacts of complying (and, of course, not complying) with each type of legislation.

In general, it is worth remembering that businesses tend to take a "just in case" approach, ensuring that they comply with the law rather than being caught out when and if they breach it. Although this incurs costs and involves preparation, it is arguably far less damaging than being fined, prosecuted or forced to cease activity after the unlawful event, especially given the reputational damage that is likely to occur.

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